

We can look for discontinued operations in the annual reports. As seen, this company has no Discontinued Operations since it is mandatory for the company to report Discontinued Operations.

Let's say a company had Discontinued Operations. In that case, we need to ask a few questions.

Future Impact on Revenue of Discontinued Operations

How large is the impact of Discontinued Operations on the Total Revenue, i.e., what part of the revenue will be compromised due to the Discontinued Operation?



Future Impact on Profits and Profitability

If a very profitable part of the business has been discontinued, it negatively impacts profit. However, if an underperforming part is discontinued, then it positively impacts profitability, which is generally the case. The revenue and profits can go down in many cases, but profitability and business quality may improve. This depends on the reason behind the discontinuity of the operation.

